



cial vehicle (MHCV) segment. In the above 3.5-tonne category, where it is looking to make gains, its market share is 3%. The synergy makes perfect sense for M&M. According to analysts, its primary market in the CV industry is 2-3.5 tonne pick-up trucks, which accounted for 71% of its FY25 CV volumes. In contrast, SML Isuzu's 89% FY25 volumes came from 6.5-9.5 tonne carriers with more than 13 seats, a segment where M&M has no presence.

"The larger than 3.5-tonne CV segment is something we were looking at for the past five years. We have also been looking at SML Isuzu for a while. We have a structured and disciplined approach. We had not moved forward until the time was right. We feel it is an appealing and fair deal," says Shah.

Kumar Rakesh says the SML Isuzu acquisition is M&M's response to competitors like Tata Motors and Ashok Leyland which have a strong presence in the over 3.5-tonne category. "M&M already has a strong presence in the SCV (small commercial vehicle) goods carrier segment. It can use SML Isuzu's Intermediate Light Commercial Vehicle (ILCV) passenger carrier platform to expand into the ILCV goods segment," he says. "Also, M&M's vast network could help SML Isuzu's volumes. This appears to be M&M's response to growing competition from Ashok Leyland and Tata Motors in the LCV segment. Buses have been a fast-growing segment, and through SML Isuzu, M&M will get access to this market. However, we think M&M will have to invest in SML Isuzu's

products as they seem to have been underinvesting in recent years," he adds.

The company is, however, not looking at buses in the MHCV segment. "With SML, we get a very strong brand when it comes to school and staff buses. Neither SML nor Mahindra Trucks and Buses are into MCV buses, and we don't intend to focus on these as sub-buses or large luxury intercity buses. But cumulatively, we have a market share of 21% in school staff and executive coach buses. So, LCV-ICV buses and LCV-ICV trucks are going to be major focus areas," says Vinod Sahay, President, Aerospace, Defence, Trucks, Buses & CE at M&M. ICV stands for intermediate commercial vehicle.

Notably, the company has no plans to merge SML Isuzu with the trucks and buses division. "We will have to work through all of that. Of course, there are benefits to a listed company. We made this acquisition from a growth mindset, and we don't necessarily need entity rationalisation for that," says Amarjyoti Barua, CFO, Mahinda Group.

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SYNERGISING OPERATIONS

Going ahead, the acquisition will help in leveraging synergies with Swaraj Tractors Ltd and Punjab Tractors Ltd, which M&M acquired in 2007.

Swaraj Tractors was later rebranded as the Swaraj Division of M&M. "One of the strengths of SML Isuzu is that a lot of the aggregates are made in-house in their Chandigarh plant, and that typically enables a better cost structure," says Rajesh Jejurikar, Executive Director and CEO (Auto and Farm Sector) at M&M. "There could be synergies around the Swaraj tractor supplier ecosystem because we procure a lot of the sheet metal in the Punjab ecosystem," he says.

In spite of the price, this seems to be a match made in heaven. **BT**

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